first three or four years of the fund, probably two-thirds of the trades were in fixed-income.

Was it the topping of the equity market in early 2000 that got you long in fixed-income?

The break in equities was definitely the catalyst for the fixed-income trade, but the trade was going to happen anyway. I use the fundamentals to have a directional bias, and I use the technicals to confirm that bias. Once I had the catalyst, I could say that yields should never again see their previous high. I could then decide what I was willing to risk, and let the market work. I was long for years, but I traded around the position. Nothing goes in a straight line. I added on weakness and lightened up on strength.

What is a recent example of fundamentals influencing a trade?

Just last week, we had the European Central Bank bailing out Ireland, and boom, the next day, the DAX [German stock index] is at a new high, the TSE [Canadian stock index] is at a new high, and the S&P and Nasdaq are at new highs.

And what does that tell you?

It tells me that it is risk on for now. Otherwise, all these markets wouldn’t be making new highs a few days after a crisis. They might rebound, but they wouldn’t go to new highs. Think of taking a volleyball and pushing it underwater—that is your crisis event. Then you let go—the event dissipates—and the ball goes popping out of the water. That is exactly what we just experienced in the markets. Today, we had a terrible unemployment report, and yet the equity markets closed higher. The equity market’s repeated resilience in the face of negative news items tells me that it wants to go higher. Chaos creates opportunity. We learn so much about the markets when we have crisis events.

We learn from how the markets respond?

Yes. There are simple things you can do. You can calculate in percentage terms how much each market responds to a crisis event. You can then rank the markets from strongest to weakest.

Is that what you do?